5TH SCH. —*cont.*

Session and Chapter, or Year and Number of Order.	Short Title.	Extent of Repeal.
22 & 23 Geo. 5. c. 52.	The National Health Insurance and Contributory Pensions Act, 1932.	Section ten.
23 & 24 Geo. 5. c. 33.	The Metropolitan Police Act, 1933.	Subsection (3) of section four, so far as that subsection relates to widows', orphans' and old age contributory pensions; pargraph 2 of the Schedule.
24 & 25 Geo. 5. c. 29.	The Unemployment Assistance Act, 1934.	Section forty-nine.
25 & 26 Geo. 5. c. 44.	The National Health Insurance and Contributory Pensions Act, 1935.	Sections sixteen to twenty-one; section twenty-three, except subsections (1), (2) and (3); section twenty-four; the Second Schedule.

CHAPTER 34.

An Act to grant certain duties of Customs and Inland Revenue (including Excise), to alter other duties, and to amend the law relating to Customs and Inland Revenue (including Excise) and the National Debt, and to make further provision in connection with Finance. [16th July 1936.]

Most Gracious Sovereign,

WE, Your Majesty's most dutiful and loyal subjects the Commons of the United Kingdom in Parliament assembled, towards raising the necessary supplies to defray Your Majesty's public expenses, and making an addition to the public revenue, have freely and voluntarily resolved to give and grant unto Your Majesty the several duties hereinafter mentioned; and do therefore most humbly beseech Your Majesty that it may be enacted, and be it enacted by the King's most Excellent Majesty, by and with the advice and consent of the Lords Spiritual and Temporal, and Commons, in this present Parliament assembled, and by the authority of the same, as follows :—

Part I.

Customs and Excise.

1.—(1) In lieu of the duties of customs charged under section one of the Finance Act, 1932, there shall be charged on tea imported into the United Kingdom duties of customs at the following increased rates, that is to say :— Increased customs duties on tea. 22 & 23 Geo. 5. c. 25.

Tea not being an Empire product - the lb. 6*d*.

Tea being an Empire product - - the lb. 4*d*.

(2) Section fourteen of the Finance Act, 1924, (which, as amended by section twelve of the Finance Act, 1925, makes provision for the allowance of drawback on the exportation or shipment as stores of certain blended tea) shall extend to blended tea prepared from teas in respect of which either of the customs duties chargeable under this section has been paid. 14 & 15 Geo. 5. c. 21. 15 & 16 Geo. 5. c. 36.

(3) In this section the expression " Empire product " has the same meaning as in subsection (1) of section eight of the Finance Act, 1919. 9 & 10 Geo. 5. c. 32.

(4) This section shall be deemed to have had effect as from the twenty-second day of April, nineteen hundred and thirty-six.

2.—(1) A duty of customs at the rate of one pound for every thirty-six gallons shall be charged in respect of all beer imported into the United Kingdom except— Increased customs duty on certain beer.

(*a*) beer being an Empire product within the meaning of subsection (1) of section eight of the Finance Act, 1919; and

(*b*) beer of any description specified in subsection (1) of section two of the Finance Act, 1930. 20 & 21 Geo. 5. c. 28.

(2) On the exportation from the United Kingdom as merchandise, or for use as ships' stores, of beer on which it is shown to the satisfaction of the Commissioners that the duty of customs charged under this section has been paid, there shall be allowed a customs drawback equal to the amount of the duty so paid.

(3) The duty of customs charged, and the customs drawback allowed, under this section shall be charged or

PART I. —*cont.*

allowed as the case may be in addition to any other duty of customs or customs drawback for the time being charged or allowed in respect of beer.

(4) This section shall be deemed to have had effect as from the twenty-second day of April, nineteen hundred and thirty-six.

Amendment as to polariscopic test of sugar.

3.—(1) Where the Commissioners are satisfied that the polarisation of any sugar chargeable with a duty of customs or excise has at any time been reduced, either as the result of the sugar having been treated (whether by the addition of invert sugar or otherwise) or as the result of the development of invert sugar or other substance therein, the sugar shall be chargeable with the duty as if it were of a polarisation exceeding ninety-nine degrees.

(2) This section shall be deemed to have had effect as from the twenty-second day of April, nineteen hundred and thirty-six.

Extension of period of stabilisation of rates of imperial preference.

16 & 17 Geo. 5. c. 22.

4.—(1) Subsection (1) of section seven of the Finance Act, 1926, (which provides for the stabilisation of rates of imperial preference) shall have effect as if the period of ten years mentioned in that subsection were extended so as to expire on the nineteenth day of August, nineteen hundred and thirty-seven:

22 & 23 Geo. 5. c. 53.

Provided that nothing in this subsection shall affect the provisions of subsection (1) of section four of the Ottawa Agreements Act, 1932, (which extended the said period in the case of tobacco until the nineteenth day of August, nineteen hundred and forty-two).

18 & 19 Geo. 5. c. 17.

(2) For the purpose of the said section seven, the preferential rates chargeable by virtue of section four of the Finance Act, 1928, in the case of Empire products being sugar, glucose, molasses or saccharin, shall be deemed to have been in force immediately before the first day of July, nineteen hundred and twenty-six.

Extension and amendment of 11 & 12 Geo. 5. c. 47.

5.—(1) Part I of the Safeguarding of Industries Act, 1921, (which, as extended by section ten of the Finance Act, 1926, is limited to expire on the nineteenth day of August, nineteen hundred and thirty-six) shall continue in force for a further period of ten years from the said day.

(2) As from the twenty-second day of April, nineteen hundred and thirty-six, the Safeguarding of Industries

Act, 1921, (hereafter in this section referred to as "the Act of 1921") shall have effect as though the following goods were included in the Schedule to that Act, that is to say,— PART I. —*cont.*

(*a*) activated carbons and decolourising carbons, not being of animal origin;

(*b*) parts of arc-lamp carbons, whether such parts are finished or not;

(*c*) parts of wireless valves and similar rectifiers and parts of vacuum tubes, whether such parts are finished or not;

(*d*) ferro-titanium containing not more than two per cent. of carbon, manganese metal containing not more than one per cent. of carbon, and chromium metal;

except that, in the case of parts of arc-lamp carbons, the duty to be charged shall be at the rate of seven shillings and sixpence per pound weight.

(3) The power of the Board of Trade under subsection (5) of section one of the Act of 1921 to issue lists defining articles which are to be taken as falling under any of the general descriptions set out in the Schedule to that Act shall include power to amend any list so issued, and the provisions of that subsection relating to the publication of a list, and to complaints that an article has been improperly included in or excluded from a list, shall extend to the publication of an amendment made under this subsection and to complaints that an article has been improperly included in or excluded from a list by virtue of such an amendment.

(4) Subsection (1) of section three of the Import Duties Act, 1932 (which empowers the Import Duties Advisory Committee to recommend that an additional duty ought to be charged in respect of goods chargeable with the general ad valorem duty) shall have effect as if the reference to the general ad valorem duty included a reference to duty chargeable under the Act of 1921, and subsections (2), (3), (4), (7) (so far as it relates to additional duties) and (8) of that section and section nineteen of that Act shall apply accordingly: 22 & 23 Geo. 5. c. 8.

Provided that any additional duty directed by virtue of this subsection to be charged on goods chargeable with duty under the Act of 1921 shall for all purposes be

PART I. —*cont.* deemed to be charged under that Act and not under the said section three.

(5) If the Board of Trade are satisfied, on the application of the importer of any consignment of instruments or apparatus imported after the passing of this Act and chargeable with duty under the Act of 1921, that—

(*a*) the consignment is required for the importer's own use; and

(*b*) goods similar to that consignment are not for the time being made, or likely to be made within a reasonable time, in any part of His Majesty's dominions in quantities which are substantial in relation to the demand for those goods in the United Kingdom;

the Board may recommend to the Treasury that the consignment should be allowed to be imported without payment of the duty so chargeable and without payment of all or any of the duties chargeable under the Import Duties Act, 1932, or, if any such duty has been paid in respect of the consignment, that it should be repaid, and the Treasury may by licence authorise the importation of the consignment, or, subject to such conditions as the Commissioners may impose for the protection of the revenue, the repayment of duty, in accordance with the recommendation:

Provided that no such recommendation shall be made—

(i) as respects any duty chargeable under the Import Duties Act, 1932, except after consultation with the Import Duties Advisory Committee; or

(ii) unless an application for the recommendation is made before the importation of the consignment.

(6) In the case of any composite goods on which, by virtue of section eight of the Import Duties Act, 1932, the general ad valorem duty would be chargeable only up to the amount, if any, by which it exceeds the duty chargeable on the goods under the Act of 1921, the general ad valorem duty shall, instead of being so chargeable, be chargeable up to the full amount thereof, and the duty under the Act of 1921 shall be charged in accordance with subsection (2) of section one of the Act of 1921.

PART I. —*cont.*

Power to remove or reduce additional duties in respect of certain iron and steel goods.

6.—(1) On the recommendation of the Import Duties Advisory Committee, and after consultation with the Board of Trade, the Treasury may by order direct that any additional duty chargeable under Part I of the Import Duties Act, 1932, on a consignment of goods, being goods of a class or description to which the order applies, shall not be charged, or shall be charged at such reduced rate as may be specified in the order, if—

(*a*) at the time of the delivery under the Customs Acts of the entry of the consignment, or, in a case where the consignment is deposited in a bonded warehouse, at the time of the removal thereof from the warehouse, there is produced in respect of the consignment a certificate of origin and a quota certificate; and

(*b*) the conditions on which those certificates were issued are complied with.

(2) An order made under this section may be applied to any class or description of goods of iron or steel (including alloy steel), being a class or description specified in the First Schedule to this Act or falling within a class or description so specified.

(3) Subsections (1), (2), (4) and (5) of section nineteen of the Import Duties Act, 1932, shall apply to any order made under this section as if it were an order made by the Treasury under the said Act imposing a duty of customs.

(4) In this section the expression "certificate of origin" means a certificate issued in accordance with regulations made under this section certifying the country in which the consignment in question was manufactured, and the expression "quota certificate" means a certificate so issued showing that the consignment forms part of such quantity of goods manufactured in that country, being goods of the class or description to which the consignment belongs, as has been authorised for the time being by the Board of Trade, after consultation with the Import Duties Advisory Committee, to be imported free of the additional duty or at the reduced rate of duty.

(5) Regulations for the purposes of this section shall be made by the Board of Trade as respects the form in which, the persons by whom, and the conditions on which, the said certificates may be issued and in particular, in the case of goods partly manufactured in any country,

PART I. —*cont.*

the conditions on which that country may be certified as the country in which the goods were manufactured.

(6) Anything required or authorised to be done under this section by the Board of Trade may be done by the President, or a secretary, under secretary or assistant secretary, of the Board.

Power to add or remove goods to or from free list, and to charge certain duties, for periods. 23 & 24 Geo. 5. c. 19. 25 & 26 Geo. 5. c. 24.

7.—(1) Any order made by the Treasury directing that goods of any class or description shall be added to, or cease to be included in, the First Schedule to the Import Duties Act, 1932, or shall be chargeable with a duty under section sixteen of the Finance Act, 1933, or section eleven of the Finance Act, 1935, in lieu of the general ad valorem duty, may, if the Import Duties Advisory Committee so recommend, direct that the goods shall be so added, or cease to be so included, or be so chargeable, as the case may be, for any period or periods specified in the order, whether continuous or not.

(2) Where any order is made under this section directing that goods shall be added to the said Schedule for any period or periods, being goods of a class or description chargeable with an additional duty under Part I of the Import Duties Act, 1932, or with a duty chargeable in lieu of the general ad valorem duty as aforesaid, the order directing that duty to be charged shall be treated, as respects those goods, as suspended in its operation during the said period or periods.

Exemption from certain duties of goods imported for purposes connected with science, art or sport.

8.—(1) If the Import Duties Advisory Committee are satisfied, on the application of the importer of any goods, that—

(*a*) the goods are intended to be used in scientific research, or for a purpose connected with the advancement of any branch of learning or art or with the promotion of any sport; and

(*b*) the goods are not intended to be sold, or to be used for any purpose which is substantially a commercial purpose;

they may, if in view of all the circumstances of the case they deem it expedient so to do, make a recommendation to the Treasury either—

(i) that the goods should be allowed to be imported without payment of any duty to which this section applies; or

(ii) that, if any such duty has been paid in respect of the goods, it should be repaid on the exportation of the goods, or should be repaid whether the goods are exported or not; PART I. —*cont.*

and the Treasury may, after consultation with the Board of Trade, by licence authorise the importation of the goods, or, subject to such conditions as the Commissioners may impose for the protection of the revenue, the repayment of duty, in accordance with the recommendation.

(2) No recommendation shall be made under this section—

(*a*) in respect of any goods imported before the passing of this Act; or

(*b*) in respect of any goods, unless an application for the recommendation is made before the delivery of the goods to the importer.

(3) A recommendation under this section may be made in respect of any consignments of goods specified therein, or in respect of all consignments of goods of a class or description specified in the recommendation which are imported by the applicant during such period as may be so specified, and the licence may be issued accordingly.

(4) This section shall apply to the duties of customs chargeable under Part I of the Import Duties Act, 1932, and the duties of customs chargeable on silk or artificial silk or articles made wholly or in part of silk or artificial silk.

Exemption of invalid carriages from duty. 10 & 11 Geo. 5. c. 18.

9.—(1) No duty shall be payable under section thirteen of the Finance Act, 1920 (which relates to duty on licences for mechanically-propelled vehicles), in respect of vehicles (including cycles with an attachment for propelling them by mechanical power) which do not exceed five hundredweight in weight unladen and are adapted and used for invalids.

(2) This section shall come into operation on the first day of January, nineteen hundred and thirty-seven.

Exemption from duty

10.—(1) No duty shall be payable under section thirteen of the Finance Act, 1920, in respect of any

PART I —*cont.*

of road construction vehicles.

mechanically propelled vehicle which is a road construction vehicle, if the road construction machinery built in or permanently attached to the vehicle is used for no purpose other than the construction or repair of roads at the public expense.

(2) If any mechanically propelled vehicle exempted under this section from the payment of duty is used otherwise than for the conveyance of road construction machinery for the purpose of its use for the construction or repair of roads at the public expense, the vehicle shall for the purposes of section thirteen of the Roads Act, 1920, be deemed to have been a vehicle for which a licence under the Finance Act, 1920, was not in force.

10 & 11 Geo. 5. c. 72.

(3) A road construction vehicle, if drawn by any mechanically propelled vehicle, shall not be deemed for the purposes of paragraph 5 of the Second Schedule to the Finance Act, 1920, to be a trailer if the road construction machinery built in or permanently attached to the vehicle is used for no purpose other than the construction or repair of roads at the public expense.

(4) In this section—

"Road construction vehicle" means a vehicle constructed or adapted for use for the conveyance of road construction machinery built in as part of the vehicle or otherwise permanently attached thereto, and not constructed or adapted for the conveyance of any other load except articles and material used for the purposes of the road construction machinery;

"Road construction machinery" means a machine or contrivance suitable for use for the construction or repair of roads.

(5) This section shall come into operation on the first day of October nineteen hundred and thirty-six.

Exemption from trailer duty of agricultural vehicles drawing farming implements.

11.—(1) For the purpose of sub-paragraph (*d*) of paragraph 5 of the Second Schedule to the Finance Act, 1920 (which, as amended by the Seventh Schedule to the Finance Act, 1933, imposes an additional duty on goods vehicles if used for drawing a trailer), a farming implement not constructed or adapted for the conveyance of goods or burden of any description shall not be deemed

PART I. —*cont.*

to be a trailer when drawn by a goods vehicle chargeable with duty under sub-paragraph (*a*) of that paragraph (which as so amended relates to vehicles used for purposes of agriculture).

(2) This section shall come into operation on the first day of January, nineteen hundred and thirty-seven.

Remission of duty in case of motor vehicles used on roads for subsidiary purposes only.

12.—(1) If an applicant for a licence under section thirteen of the Finance Act, 1920, in respect of any mechanically propelled vehicle satisfies the licensing authority that the vehicle is intended to be used on roads repairable at the public expense—

(*a*) only in passing from land in his occupation to other land in his occupation; and

(*b*) for distances not exceeding in the aggregate six miles in any calendar week;

then, if authorised so to do by the Minister of Transport with the consent of the Treasury, the licensing authority may exempt the vehicle from the duty payable under the said section.

(2) If a mechanically propelled vehicle exempted under this section from the payment of duty is used on roads repairable at the public expense otherwise than for the purpose and to the extent specified in the last foregoing subsection, the vehicle shall for the purposes of section thirteen of the Roads Act, 1920, be deemed to have been a vehicle for which a licence under the Finance Act, 1920, was not in force.

Provisions to facilitate prosecution of persons using vehicles without excise licences.

13.—(1) Where it is alleged that a vehicle has been used in contravention of section thirteen of the Roads Act, 1920, (which provides for the punishment of persons who use vehicles without the appropriate excise licences)—

(*a*) the owner of the vehicle shall give such information as he may be required by or on behalf of a Chief Officer of Police or a county council within the meaning of the Roads Act, 1920, to give as to the identity of the driver and of any person using the vehicle and, if he fails to do so, shall be guilty of an offence, unless he shows to the satisfaction of the court that he did not know and could not with reasonable diligence have ascertained who was driving or using the vehicle; and

PART I. —*cont.*

(*b*) any other person shall, if required as aforesaid, give any information which it is in his power to give and which may lead to the identification of the driver or of any person using the vehicle, and, if he fails so to do, he shall be guilty of an offence.

(2) A person guilty of an offence under this section shall be liable on summary conviction to a fine not exceeding twenty pounds.

PART II.

INCOME TAX.

Income tax for 1936–37.

14.—(1) Income tax for the year 1936–37 shall be charged at the standard rate of four shillings and ninepence in the pound, and, in the case of an individual whose total income exceeds two thousand pounds, at such higher rates in respect of the excess over two thousand pounds as Parliament may hereafter determine.

(2) All such enactments as had effect with respect to the income tax charged for the year 1935–36 shall have effect with respect to the income tax charged for the year 1936–37.

Higher rates of income tax for 1935–36.

15. Income tax for the year 1935–36 shall be charged, in the case of an individual whose total income exceeded two thousand pounds, at the same higher rates in respect of the excess over two thousand pounds as were charged for the year 1934–35.

Personal allowance of married persons.

17 & 18 Geo. 5. c. 10

21 & 22 Geo. 5. c. 49

16. Subsection (1) of section eighteen of the Finance Act, 1920, (which, as amended by section forty of the Finance Act, 1927, section eight of the Finance (No. 2) Act, 1931, and section twenty of the Finance Act, 1935, provides for a deduction of tax on one hundred and seventy pounds in the case of married persons) shall have effect as if the words "one hundred and eighty pounds" were substituted for the words "one hundred and seventy pounds."

Deduction in respect of children.

17. Section twenty-one of the Finance Act, 1920, (which, as amended by section forty of the Finance Act, 1927, section eight of the Finance (No. 2) Act, 1931, and section twenty-one of the Finance Act, 1935, provides for a deduction of tax on fifty pounds in respect of each child) shall have effect as if the words "sixty pounds" were substituted for the words "fifty pounds" in subsections (1) and (3) thereof.

PART II. —*cont.*

Provisions for preventing avoidance of income tax by transactions resulting in the transfer of income to persons abroad.

18. For the purpose of preventing the avoiding by individuals ordinarily resident in the United Kingdom of liability to income tax by means of transfers of assets by virtue or in consequence whereof, either alone or in conjunction with associated operations, income becomes payable to persons resident or domiciled out of the United Kingdom, it is hereby enacted as follows:—

(1) Where such an individual has by means of any such transfer, either alone or in conjunction with associated operations, acquired any rights by virtue of which he has, within the meaning of this section, power to enjoy, whether forthwith or in the future, any income of a person resident or domiciled out of the United Kingdom which, if it were income of that individual received by him in the United Kingdom, would be chargeable to income tax by deduction or otherwise, that income shall, whether it would or would not have been chargeable to income tax apart from the provisions of this section, be deemed to be income of that individual for all the purposes of the Income Tax Acts:

Provided that this subsection shall not apply if the individual shows in writing or otherwise to the satisfaction of the Special Commissioners that the transfer and any associated operations were effected mainly for some purpose other than the purpose of avoiding liability to taxation.

(2) For the purposes of this section an associated operation means, in relation to any transfer, an operation of any kind effected by any person in relation to any of the assets transferred or any assets representing, whether directly or indirectly, any of the assets transferred, or to the income arising from any such assets, or to any assets representing, whether directly or indirectly, the accumulations of income arising from any such assets.

(3) An individual shall, for the purposes of this section, be deemed to have power to enjoy income of a person resident or domiciled out of the United Kingdom if—

(*a*) the income is in fact so dealt with by any person as to be calculated, at some point of time, and

PART II. —*cont.*

whether in the form of income or not, to inure for the benefit of the individual; or

(*b*) the receipt or accrual of the income operates to increase the value to the individual of any assets held by him or for his benefit; or

(*c*) the individual receives or is entitled to receive, at any time, any benefit provided or to be provided out of that income or out of moneys which are or will be available for the purpose by reason of the effect or successive effects of the associated operations on that income and on any assets which directly or indirectly represent that income; or

(*d*) the individual has power, by means of the exercise of any power of appointment or power of revocation or otherwise, to obtain for himself, whether with or without the consent of any other person, the beneficial enjoyment of the income; or

(*e*) the individual is able in any manner whatsoever, and whether directly or indirectly, to control the application of the income.

(4) In determining whether an individual has power to enjoy income within the meaning of this section, regard shall be had to the substantial result and effect of the transfer and any associated operations, and all benefits which may at any time accrue to the individual as a result of the transfer and any associated operations shall be taken into account irrespective of the nature or form of the benefits.

(5) For the purposes of this section—

(*a*) a reference to an individual shall be deemed to include the wife or husband of the individual;

(*b*) the expression "assets" includes property or rights of any kind, and the expression "transfer," in relation to rights includes the creation of those rights;

(*c*) the expression "benefit" includes a payment of any kind;

(*d*) references to income of a person resident or domiciled out of the United Kingdom shall, where the amount of the income of a company for any year or period has been apportioned under section twenty-one of the Finance Act, 1922, include references to so much of the income of the company for that year or period as is equal to the amount so apportioned to that person; PART II. —*cont.* 12 & 13 Geo. 5. c. 17.

(*e*) references to assets representing any assets, income or accumulations of income include references to shares in or obligations of any company to which, or obligations of any other person to whom, those assets, that income or those accumulations are or have been transferred.

(6) The provisions of the Second Schedule to this Act shall have effect for the purpose of carrying this section into effect and otherwise for supplementing the provisions of this section, and this section is referred to in that Schedule as " the principal section."

(7) The provisions of this section shall apply for the purposes of assessment to income tax for the year 1935–36 and subsequent years, and shall apply in relation to transfers of assets and associated operations whether carried out before or after the commencement of this Act :

Provided that, for the year 1935–36, no income shall be charged to tax at the standard rate by virtue of the provisions of this section, but surtax shall be assessed and charged as if any income which would, but for this proviso, have been charged as aforesaid had in fact been so charged.

General amendments of 12 & 13 Geo. 5. c. 17, s. 21.

19.—(1) For the purposes of subsection (6) of section twenty-one of the Finance Act, 1922, a company shall be deemed to be under the control of not more than five persons—

(*a*) if any five or fewer persons together exercise, or are able to exercise, or are entitled to acquire, control, whether direct or indirect, over the company's affairs, and in particular, but without prejudice to the generality of the foregoing words, if any five or fewer persons together possess, or are entitled to acquire, the greater part of the share capital or voting power of the company; or

PART II. —*cont.*

(*b*) if any five or fewer persons together possess, or are entitled to acquire, either the greater part of the issued share capital of the company, or such part of that capital as would, if the whole of the income of the company were in fact distributed to the members, entitle them to receive the greater part of the amount so distributed; or

(*c*) if, on the assumption that the company is a company to which the said section twenty-one applies, more than half of its income (including any income which has been apportioned to it, or could on that assumption be apportioned to it, under the said section twenty-one) could be apportioned among not more than five persons.

(2) In determining for the purposes of the said subsection (6) whether a company is or is not under the control of not more than five persons, persons who are relatives of one another, persons who are nominees of any other person together with that other person, persons in partnership, and persons interested in any shares or obligations of the company which are subject to any trust or are part of the estate of a deceased person, shall respectively be treated as a single person.

For the purposes of this subsection—

(*a*) the expression "relative" means a husband, wife, ancestor, lineal descendant, brother or sister;

(*b*) a person shall be deemed to be the nominee of another person, if, whether directly or indirectly, he possesses on behalf of that other person, or may be required to exercise on the direction of or on behalf of that other person, any right or power which, by virtue of any of the provisions of this Act, is material in determining whether a company is or is not to be deemed to be under the control of not more than five persons.

(3) For the purpose of the provisions of the said section twenty-one and any provisions of this or any other Act relating thereto, the definition of the expression "company" shall be extended so as to include any body incorporated in any part of the United Kingdom under any enactment, and in relation to any such body corporate other than a company within the meaning of

the Companies Act, 1929, or any corresponding enactment in force in Northern Ireland, the said provisions shall have effect subject to the following modifications— PART II. —*cont.* 19 & 20 Geo. 5. c. 23.

(*a*) references to winding-up shall include references to the dissolution or cancellation of the registry of the body corporate in any manner authorised by any rules, regulations or other instrument constituting or regulating the body corporate or any enactment applying to the body corporate; and

(*b*) references to an order or resolution for winding-up shall include references to the signing of any instrument, the making of any application or the doing of any other act which is authorised as aforesaid with a view to dissolving, or cancelling the registry of, the body corporate; and

(*c*) references to the liquidator shall include references to any person in charge of the winding-up of the affairs of the body corporate.

(4) At the end of sub-paragraph (iii) of paragraph (*a*) of subsection (1) of the said section twenty-one there shall be added the following words—" or

(iv) in redemption or repayment of any share or loan capital or debt (including any premium on such share or loan capital or debt) issued or incurred otherwise than for adequate consideration,"

and at the end of the said subsection there shall be inserted the following paragraphs—

" For the purposes of this subsection share or loan capital or debt shall be deemed to be issued or incurred otherwise than for adequate consideration if—

(A) it is issued or incurred for consideration the value of which to the company is substantially less than the amount of the capital or debt (including any premium thereon); or

(B) it is issued or incurred in or towards, or for the purpose of raising money applied or to be applied in or towards, the

PART II. —*cont.*

redemption or repayment of any share or loan capital or debt which itself was issued or incurred for such consideration as is mentioned in the last foregoing paragraph or which represents, directly or indirectly, any share or loan capital or debt which itself was issued or incurred for such consideration.

References in this subsection to money applied or to be applied for any purpose shall be deemed to include references to money applied or to be applied in or towards the replacement of that money."

(5) Where a notice of charge is served on a company or the liquidator of a company under subsection (3) of the said section twenty-one and the tax thereupon becoming payable is not paid by the company before the expiration of three months from the date of service or before the second day of January following the year of assessment (whichever is the later), the tax shall thereupon, without prejudice to the right to recover it from the company, be recoverable from the member on whom the tax was assessed.

(6) The provisions of this and the next following section shall apply for the purposes of assessment to sur-tax for the year 1935–36 and subsequent years.

Amendments of 12 & 13 Geo. 5. c. 17, s. 21, as respects investment companies. 8 & 9 Geo. 5. c. 40.

20.—(1) The following provisions of this section shall have effect as respects companies (hereafter in this section referred to as "investment companies") the income whereof consists mainly of investment income, that is to say, income which, if the company were an individual, would not be earned income as defined in subsection (3) of section fourteen of the Income Tax Act, 1918:

Provided that, for the purposes of this subsection, any income apportioned to a company under section twenty-one of the Finance Act, 1922, shall be deemed to be income of the company and to be investment income.

(2) For the purpose of subsection (1) of the said section twenty-one the sums which are to be regarded as income available for distribution among the members of an investment company, and not as having been applied or being applicable to the current requirements of the company's business or to such other requirements as

may be necessary or advisable for the maintenance and development of that business, shall include any sum expended or applied, or available to be expended or applied, out of the income of the company in or towards the redemption, repayment, or discharge of any loan capital or debt (including any premium thereon) in respect of which any person is a loan creditor of the company.

(3) Without prejudice to the provisions of the last foregoing section, an investment company shall be deemed for the purposes of subsection (6) of the said section twenty-one to be under the control of not more than five persons if any five or fewer persons would, if the company were wound up, be entitled as members or loan creditors of the company to receive more than half of the assets of the company which would be available for distribution to members and loan creditors.

(4) Where an investment company is deemed by virtue of the last foregoing subsection to be under the control of not more than five persons by reason that any five or fewer persons would, if the company were wound up, be entitled as loan creditors to receive more than one-half of the assets therein referred to (whether or not it would otherwise be deemed to be under such control)—

(*a*) the definition of the expression "member" shall, for the purposes of the said section twenty-one and any provisions of this or any other Act relating thereto, be extended so as to include any loan creditor of the company; and

(*b*) for the purpose of paragraph 8 of the First Schedule to the Finance Act, 1922, a loan creditor shall be deemed to have an interest in any income of the company to be apportioned under that paragraph to the extent that that income, or assets representing it, has or have been expended or applied or is or are available to be expended or applied in redemption or repayment or discharge of the loan capital or debt (including any premium thereon) in respect of which he is a loan creditor:

Provided that—

(i) where by virtue or in consequence of any settlement within the meaning of the next

PART II. —*cont.*

following section of this Act a loan creditor has been or could be required by some other person (hereafter referred to as a "beneficiary") to pay to the beneficiary the whole of any sums which have been or might be paid to that loan creditor by the company in redemption, repayment or discharge of the loan capital or debt (including any premium thereon) in respect of which he is a loan creditor, or to pay or transfer to the beneficiary the whole of any sums or assets representing directly or indirectly any such sums as aforesaid, the beneficiary and not the loan creditor shall be deemed, for the purposes of the said section twenty-one of the Finance Act, 1922, and any provisions of this or any other Act relating thereto, to be a member of the company and, for the purposes of the said paragraph 8, to have the interest in the income of the company which the loan creditor would, but for this provision, be deemed to have by virtue of the foregoing provisions of this section; and

(ii) where a loan creditor has been or could be required as aforesaid to pay or transfer to the beneficiary a part only of any such sums or assets as aforesaid, the beneficiary, as well as the loan creditor, shall be deemed to be a member of the company for the purposes of the said section twenty-one of the Finance Act, 1922, and any provisions of this or any other Act relating thereto, and for the purpose of the said paragraph 8 the interest which the loan creditor is deemed to have in the income of the company by virtue of the foregoing provisions of this section shall be apportioned by the Special Commissioners between the beneficiary and the loan creditor.

(5) In relation to an investment company paragraph 11 of the First Schedule to the Finance Act, 1922, shall have effect as if references to shares included references to loan capital.

(6) Where, whether before or after the passing of this Act, an order has been made or a resolution passed

for the winding-up of an investment company to which section twenty-one of the Finance Act, 1922, applies, the following provisions shall have effect:— PART II. —*cont.*

(*a*) the actual income of the company from all sources since the date of the order or resolution shall, for purposes of assessment to surtax, be deemed to be the income of the members;

(*b*) the Special Commissioners shall from time to time by notice in writing to the liquidator direct that the amount of that income for the year or period specified in the notice shall be deemed for those purposes to be the income of the members for that year or period, and the amount thereof shall be apportioned and surtax assessed and charged accordingly;

(*c*) the provisions of the said section twenty-one and any provisions of this or any other Act relating thereto shall, with any necessary modifications, apply in relation to any such directions, apportionments and assessments as they apply in relation to directions, apportionments and assessments under subsection (1) of the said section twenty-one.

(7) For the purpose of this section, the expression "loan creditor" means a creditor in respect of any debt incurred by the company—

(*a*) for any money borrowed or capital assets acquired by the company; or

(*b*) for any right to receive income created in favour of the company; or

(*c*) for consideration the value of which to the company was (at the time when the debt was incurred) substantially less than the amount of the debt (including any premium thereon)

or in respect of any redeemable loan capital issued by the company:

Provided that a person carrying on the business of banking shall not be deemed to be a loan creditor in respect of any loan capital or debt issued or incurred by the company for money lent by him to the company in the ordinary course of that business.

PART II. —*cont.*

Provisions as to income settled on children.

21.—(1) Where, by virtue or in consequence of any settlement to which this section applies and during the life of the settlor, any income is paid to or for the benefit of a child of the settlor in any year of assessment, the income shall, if at the commencement of that year the child was an infant and unmarried, be treated for all the purposes of the Income Tax Acts as the income of the settlor for that year and not as the income of any other person.

(2) Subject as hereafter provided, for the purpose of this section—

(*a*) income which, by virtue or in consequence of a settlement to which this section applies, is so dealt with that it, or assets representing it, will or may become payable or applicable to or for the benefit of a child of the settlor in the future (whether on the fulfilment of a condition, or the happening of a contingency, or as the result of the exercise of a power or discretion conferred on any person, or otherwise) shall be deemed to be paid to or for the benefit of that child; and

(*b*) any income dealt with as aforesaid which is not required by the settlement to be allocated, at the time when it is so dealt with, to any particular child or children of the settlor shall be deemed to be paid in equal shares to or for the benefit of each of the children to or for the benefit of whom or any of whom the income or assets representing it will or may become payable or applicable.

(3) Where any income is dealt with as mentioned in the last foregoing subsection by virtue or in consequence of a settlement to which this section applies, being a settlement which, at the time when the income is so dealt with, is an irrevocable settlement—

(*a*) the provisions of the last foregoing subsection shall not apply to that income unless and except to the extent that that income consists of, or represents directly or indirectly, sums paid by the settlor which are allowable as deductions in computing his total income for the purpose of the Income Tax Acts; and (*b*) any sum whatsoever paid thereafter by virtue or in consequence of the settlement, or any enactment relating thereto, to or for the benefit of a child of the settlor, being a child who at the commencement of the year of assessment in which the sum is paid is an infant and unmarried, shall be deemed for the purposes of subsection (1) of this section to be paid as income, unless and except to the extent that the sum so paid together with any other sums previously so paid (whether to that child or to any other child who, at the commencement of the year of assessment in which that other sum was so paid, was an infant and unmarried) exceeds the aggregate amount of the income which by virtue or in consequence of the settlement has been paid to or for the benefit of a child of the settlor, or dealt with as mentioned in subsection (2) of this section, since the date when the settlement took effect or the date when it became irrevocable, whichever is the later. PART II. —*cont.*

(4) Income paid to or for the benefit of a child of a settlor shall not be treated as provided in subsection (1) of this section for any year of assessment in which the aggregate amount of the income paid to or for the benefit of that child, which, but for this subsection, would be so treated by virtue of the foregoing provisions of this section, does not exceed five pounds.

(5) Subsections (2) and (3) of section twenty of the Finance Act, 1922, shall have effect as if references to paragraph (*c*) of subsection (1) of that section included references to the foregoing provisions of this section, as if references to a disposition included references to a settlement, and as if the reference to the making of a disposition included a reference to the making of or entering into a settlement, and subsection (4) of that section shall have effect as if the reference to that section included a reference to the said provisions of this section.

(6) No repayment shall be made under section twenty-five of the Income Tax Act, 1918, on account of tax paid in respect of any income which by virtue of this section has been treated as the income of a settlor.

Part II —*cont.*

(7) The General or Special Commissioners may by notice in writing require any party to a settlement to furnish them within such time as they may direct (not being less than twenty-eight days), with such particulars as they think necessary for the purpose of this section, and if that person without reasonable excuse fails to comply with the notice, he shall be liable to a penalty not exceeding fifty pounds, and, after judgment has been given for that penalty, to a further penalty of the like amount for every day during which the failure continues.

(8) For the purposes of this section, a settlement shall not be deemed to be irrevocable, if the terms thereof provide—

(*a*) for the payment to the settlor or, during the life of the settlor, to the wife or husband of the settlor for his or her benefit, or for the application for the benefit of the settlor or, during the life of the settlor, of the wife or husband of the settlor, of any income or assets in any circumstances whatsoever during the life of any child of the settlor to or for the benefit of whom any income, or assets representing it, is or are or may be payable or applicable by virtue or in consequence of the settlement; or

(*b*) for the determination of the settlement by the act or on the default of any person; or

(*c*) for the payment of any penalty by the settlor in the event of his failing to comply with the provisions of the settlement:

Provided that a settlement shall not be deemed to be revocable by reason only—

(i) that it contains a provision whereunder any income or assets will or may become payable to or applicable for the benefit of the settlor, or the wife or husband of the settlor, on the bankruptcy of any such child as is mentioned in paragraph (*a*) of this subsection or in the event of an assignment of or charge on that income or those assets being executed by such a child; or

(ii) that it provides for the determination of the settlement as aforesaid in such a manner that the determination will not, during the lifetime of any such child as aforesaid, benefit any person other than such a child, or the wife, husband, or issue of such a child; or PART II. —*cont.*

(iii) in the case of a settlement to which section thirty-three of the Trustee Act, 1925, applies, that it directs income to be held for the benefit of such a child as aforesaid on protective trusts, unless the trust period is a period less than the life of the child or the settlement specifies some event on the happening of which the child would, if the income were payable during the trust period to him absolutely during that period, be deprived of the right to receive the income or part thereof. 15 & 16 Geo. 5. c. 19.

(9) In this section—

(*a*) the expression "child" includes a stepchild, an adopted child and an illegitimate child;

(*b*) the expression "settlement" includes any disposition, trust, covenant, agreement, arrangement or transfer of assets;

(*c*) the expression "settlor", in relation to a settlement, includes any person by whom the settlement was made or entered into directly or indirectly, and in particular (but without prejudice to the generality of the foregoing words of this definition) includes any person who has provided or undertaken to provide funds directly or indirectly for the purpose of the settlement, or has made with any other person a reciprocal arrangement for that other person to make or enter into the settlement;

(*d*) the expression "income," except in the third and fourth places where it occurs in subsection (1) of this section, includes any income chargeable to income tax by deduction or otherwise and any income which would have been so chargeable if it had been received in the United Kingdom by a person resident and ordinarily resident in the United Kingdom, but does not include income arising under a settlement in a year of assessment for which the settlor is not chargeable to income tax as a resident in the United Kingdom.

PART II. —*cont.*

(10) This section applies to every settlement, wheresoever it was made or entered into, and whether it was made or entered into before or after the passing of this Act, except a settlement made or entered into before the twenty-second day of April, nineteen hundred and thirty-six, which immediately before that date was irrevocable.

(11) Paragraph (*c*) of subsection (1) of section twenty of the Finance Act, 1922, and any other provisions of that subsection relating to that paragraph, shall cease to have effect as respects any settlement to which this section applies.

Exclusion of certain machinery from valuation for Schedule A, &c.

22.—(1) No account shall be taken of the value of non-rateable machinery in ascertaining the annual value—

(*a*) of any property in Great Britain according to the general rule of No. 1 of Schedule A; or

(*b*) of any property whatsoever for the purpose of Rule 5 of the rules applicable to Cases I and II of Schedule D, or for the purpose of section eighteen of the Finance Act, 1919.

(2) The profits arising to any person from the letting of any machinery the value of which is not taken into account for the purpose of assessment to income tax under Schedule A shall be deemed to be profits chargeable to income tax under Case VI of Schedule D.

(3) In this section—

(*a*) the expression " property " means lands, tenements, hereditaments and heritages;

(*b*) the expression " machinery " includes plant, machines, tools, and appliances;

(*c*) the expression " non-rateable machinery," in relation to any property, means machinery of any description the value whereof is not taken into account for the purposes of rating under the relevant rating enactment, or would not be so taken into account if that enactment had effect with respect to the valuation of the property;

(*d*) the expression " relevant rating enactment " means—

(i) in relation to property in England or outside the United Kingdom, paragraph (*b*) of subsection (1) of section twenty-four of the Rating and Valuation Act, 1925; PART II. —*cont.* 15 & 16 Geo. 5. c. 90.

(ii) in relation to property in Scotland, section one of the Lands Valuation (Scotland) Amendment Act, 1902; 2 Edw. 7. c. 25.

(iii) in relation to property in Northern Ireland, section seven of the Annual Revision of Rateable Property (Ireland) Amendment Act, 1860. 23 & 24 Vict. c. 4.

Amendments as to assessment for purposes of Schedules A and B in Northern Ireland. 21 & 22 Geo. 5. c. 26.

23.—(1) Where, under section eight of an Act of the Parliament of Northern Ireland known as the Valuation Acts Amendment Act (Northern Ireland), 1932, (hereafter in this section referred to as "the Act of 1932"), contiguous hereditaments in the occupation of one and the same occupier are valued as one rateable hereditament although held under two or more immediate lessors under different contracts of tenancy, the annual value of that rateable hereditament ascertained in accordance with the valuation shall be apportioned by the surveyor, after consultation with the Commissioner of Valuation, between the said contiguous hereditaments.

(2) Where tax is chargeable under Schedule B in respect of part, but not the whole, of a hereditament which, under the Act of 1932, is valued as one rateable hereditament, or to which an annual value has been apportioned under the last foregoing subsection, the annual value of the hereditament ascertained in accordance with the valuation or so apportioned thereto shall be apportioned or reapportioned, as the case may be, by the surveyor, after consultation with the Commissioner of Valuation, between the part of the hereditament in respect of which tax is so chargeable and the remainder thereof.

(3) If any difference arises as regards any apportionment or reapportionment made by the surveyor under this section, it shall be referred to the Special Commissioners, who may revise the apportionment or reapportionment as they think fit, and their determination thereon shall be final.

(4) Where an annual value is apportioned or reapportioned between hereditaments or parts of hereditaments under the foregoing provisions of this section, then, for the purpose of section one hundred

PART II. —*cont.*

and eighty-seven of the Income Tax Act, 1918, each of those hereditaments or parts, as the case may be, shall be deemed to be a separate hereditament, and the annual value apportioned to it shall be deemed to have been ascertained according to the survey and valuation in force for the purposes of poor rates.

17 & 18 Vict. c. 8.

(5) Where a person receives rent in respect of any hereditament which, by virtue of section two of the Valuation (Ireland) Act, 1854, is for the time being exempt from assessment for poor rates, tax under Schedule A shall be assessed and charged on him upon the full amount of the rent, less any sum liable to be paid or allowed by way of deduction from the rent under subsection (2) of section seven of the Act of 1932.

PART III.

DEATH DUTIES.

Modification of exemption from estate duty on property situate abroad. 57 & 58 Vict. c. 30.

24. The exemption from estate duty which exists by virtue of subsection (2) of section two of the Finance Act, 1894, in the case of certain property situate out of Great Britain shall, subject as hereinafter provided, cease so far as relates to any such property passing on the death of a person dying after the passing of this Act domiciled in some part of Great Britain:

Provided that nothing in this section shall operate so as to charge with duty any such property—

(*a*) which passes under or by reason of a disposition made by a person who, at the date on which the disposition took effect, was domiciled elsewhere than in some part of Great Britain, unless the disposition was made, directly or indirectly, on behalf of or at the expense of, or out of funds provided by, a person who at that date was domiciled in some part of Great Britain; or

(*b*) which by the law of the country in which it is situate is immovable property.

Extension of relief under s. 5 (2) of 57 & 58 Vict. c. 30 to cases where estate

25. The payment (whether before or after the passing of this Act) of estate duty chargeable under the law in force in Northern Ireland on the death of a party to a marriage shall, for the purpose of any relief given by subsection (2) of section five of the Finance Act, 1894, A.D. 1936.

PART III. —*cont.*

as respects the payment of any duty on the death after the passing of this Act of the other party to the marriage, have the like effect in all respects as if the duty paid had been chargeable under the law in force in Great Britain.

duty has been paid in Northern Ireland.

Exemption from death duties of certain property if sold to Friends of National Libraries.

26. Section forty-four of the Finance Act, 1921, and the proviso to subsection (2) of section forty of the Finance Act, 1930 (which provide that death duties shall not become chargeable in respect of certain property on the sale thereof to the National Gallery, British Museum, or certain other institutions and persons therein mentioned), shall have effect as if the references to such a sale included a reference to a sale after the passing of this Act to the society known as " the Friends of the National Libraries."

Extension of 21 & 22 Geo. 5. c. 28, s. 40, to land given to National Trust for Scotland. 26 Geo. 5. & 1 Edw. 8. c. ii.

27. In section forty of the Finance Act, 1931 (which provides for exemption from death duties in the case of land given to the National Trust), the expression " National Trust " shall include the body incorporated under the National Trust for Scotland Order Confirmation Act, 1935, by the name of " The National Trust for " Scotland for Places of Historic Interest or Natural " Beauty " :

Provided that, in relation to the said body, the reference in the said section forty to the commencement of the Finance Act, 1931, shall be construed as a reference to the passing of this Act.

PART IV.

MISCELLANEOUS AND GENERAL.

Stamp duty on certain India and Burma stocks and securities. 23 & 24 Vict. c. 5. 54 & 55 Vict. c. 39.

28.—(1) The exemption from stamp duty in respect of Indian Government loans conferred by section two of the Indian Securities Act, 1860, shall not apply to any stock or marketable securities to which this section applies, but any such stock or securities shall be treated for the purposes of the provisions of the Stamp Act, 1891, as if they were respectively colonial stock and colonial government securities.

(2) This section applies to all stock and marketable securities issued by or on behalf of the Federation of India or the Governor-General of India in Council or the

PART III. —*cont.*

Governor of Burma, except stock or marketable securities issued by the said Governor-General in Council or Governor on behalf of the Secretary of State in Council or issued on behalf of the said Governor-General in Council by the Secretary of State.

Exemption of trade unions and trade protection associations from duty chargeable under Part II of 48 & 49 Vict. c. 51.

29.—(1) The stamp duty chargeable under Part II of the Customs and Inland Revenue Act, 1885, shall not be charged in respect of the property of any trade union or trade protection association.

(2) In this section—

2 & 3 Geo. 5. c. 30.

(*a*) the expression "trade union" has the same meaning as in the Trade Union Act, 1913;

(*b*) the expression "trade protection association" means any body of persons, whether corporate or unincorporate, the principal object whereof is the protection or furtherance of the interests of a trade or industry, or of two or more trades or industries, whether generally or in a particular district.

(3) If any question arises under this section whether a combination, not being a trade union for the time being registered or certified as such under the Trade Union Acts, 1871 to 1927, is or is not a trade union, it shall be referred to the Chief Registrar of Friendly Societies, and his decision shall be final.

Provisions as to permanent annual charge for the National Debt.

30.—(1) The permanent annual charge for the National Debt for the financial year ending on the thirty-first day of March, nineteen hundred and thirty-seven, shall be the sum of two hundred and twenty-four million pounds instead of the sum of three hundred and fifty-five million pounds.

(2) The Treasury may at any time, if they think fit, raise money in any manner in which they are authorised to raise money under and for the purposes of sub-

9 & 10 Geo. 5. c. 37.

section (1) of section one of the War Loan Act, 1919, for providing any sums required during the said financial year for the purposes mentioned in paragraph (*a*) or paragraph (*b*) of subsection (4) of section twenty-three of the Finance Act, 1928, and the amount required by the said subsection (4) to be issued from the permanent annual charge for the National Debt for the purposes aforesaid in that year shall be decreased by the amount raised under this subsection. PART III. —*cont.*

(3) Any securities created and issued to raise money under the last preceding subsection shall be deemed to have been created and issued under subsection (1) of section one of the War Loan Act, 1919.

Provisions as to Post Office Fund.

31.—(1) For the purpose of any calculation required to be made for the purpose of section thirty-nine of the Finance Act, 1933, (which relates to the Post Office Fund) as respects the financial year ending on the thirty-first day of March, nineteen hundred and thirty-seven, the fixed contribution to the Exchequer shall be taken to be the sum of ten million seven hundred and fifty thousand pounds.

(2) If it is estimated during any financial year that the Post Office net surplus for that year will exceed the fixed contribution to the Exchequer, there may be paid from the Consolidated Fund to the Post Office Fund such sums as the Treasury think fit on account of the estimated excess, but if it is subsequently found that the Post Office net surplus for that year was less than the fixed contribution to the Exchequer, or that the actual excess was less than the sums so paid, the fixed contribution to the Exchequer for the next following financial year shall be increased by the amount of the sums so paid or by the amount by which the actual excess falls short of those sums, as the case may be.

(3) In this section the expression "the Post Office net surplus" has the same meaning as in Part IV of the Finance Act, 1933.

Provisions as to securities in the hands of National Debt Commissioners under Part VI of 15 & 16 Geo. 5. c. 49.

32.—(1) So much of any dividends received by the National Debt Commissioners on securities held by them for the purpose of Part VI of the Supreme Court of Judicature (Consolidation) Act, 1925, (which relates to funds in court) as, in the opinion of the Treasury, is not required for paying the sums payable by those Commissioners under that Part of that Act and for providing against depreciation in the value of those securities shall, instead of being invested as directed by subsection (1) of section one hundred and forty-five of that

PART III. —*cont.*

Act, be paid into the Exchequer from time to time as the Treasury may direct.

(2) If at any time the Treasury are satisfied, after consultation with the said Commissioners and the Accountant-General of the Supreme Court, that the securities in the hands of those Commissioners under Part VI of the said Act exceed what is reasonably required for the purposes of that Part of that Act, they may direct that the said securities shall to the extent of the excess be applied, at such time and in such manner as they think fit, towards the redemption of the National Debt.

Provisions as to Road Fund.

33.—(1) As from the first day of April, nineteen hundred and thirty-seven, the liability to issue sums out of the Consolidated Fund of the United Kingdom to the Road Fund under section two of the Roads Act, 1920, and any power to make advances to, or to borrow on the security of, the Road Fund, shall cease, and thereafter the following provisions shall have effect as respects the Road Fund (hereafter in this section and in the Third Schedule to this Act referred to as "the Fund"):—

(*a*) there shall be paid into the Fund from time to time out of moneys provided by Parliament such sums as the Minister of Transport may, with the consent of the Treasury, determine to be required for the purposes of section eight of the Development and Road Improvement Funds Act, 1909, and for other purposes of the Fund, and the proviso to subsection (4) of section three of the Roads Act, 1920, (which limits the sums to be applied out of the Road Fund for certain purposes) shall cease to have effect;

9 Edw. 7. c. 47.

(*b*) no further payments shall be made out of the Fund by way of contribution towards the General Exchequer Contributions for England or Scotland;

(*c*) such expenses and other sums payable out of the Fund as are mentioned in Part I of the said Third Schedule shall cease to be so payable, and shall, in so far as they are not authorised to be paid out of moneys provided by Parliament, be paid out of moneys so provided;

PART III. —*cont.*

(*d*) all fees which are required to be paid into the Fund by any enactment shall, instead of being so paid, be appropriated in aid of the moneys provided by Parliament for the salaries and expenses of the Ministry of Transport.

(2) As from the said first day of April, the enactments set out in Part II of the said Third Schedule shall be repealed to the extent specified in the third column of that Schedule.

(3) During the current financial year there shall, in accordance with the directions of the Treasury, be transferred to the Exchequer from the Fund the sum of five million two hundred and fifty thousand pounds.

Signature of requisitions under ss. 13 and 15 of 29 & 30 Vict. c. 39.

34. Any requisition for a credit under section thirteen or section fifteen of the Exchequer and Audit Departments Act, 1866, may—

(*a*) if not more than one of the Commissioners of the Treasury is available, be signed by one of the said Commissioners and either by one of the Secretaries of the Treasury or by one of such officers as the Treasury may from time to time appoint to that duty; and

(*b*) if none of the said Commissioners is available, be signed either by two of the said Secretaries or by one of the said Secretaries and one of the said officers.

Short title, construction, extent and repeals.

35.—(1) This Act may be cited as the Finance Act, 1936.

(2) Part I of this Act, so far as it relates to duties of customs, shall be construed as one with the Customs Consolidation Act, 1876, and so far as it relates to duties of excise, shall be construed as one with the Acts which relate to the duties of excise and to the management of those duties, and the expression "the Commissioners" in the said Part I means the Commissioners of Customs and Excise. 39 & 40 Vict. c. 36.

(3) Part II of this Act shall be construed as one with the Income Tax Acts.

(4) Any reference in this Act to any other enactment shall be construed as a reference to that enactment as

PART III. —*cont.* amended by any subsequent enactment, including (unless the context otherwise requires) this Act.

(5) In this Act the expression "the United Kingdom" does not include the Isle of Man.

(6) Such of the provisions of this Act as relate to matters with respect to which the Parliament of Northern Ireland has power to make laws shall not extend to Northern Ireland.

(7) The enactments set out in the Fourth Schedule to this Act are hereby repealed to the extent mentioned in the third column of that Schedule.

SCHEDULES.

Section 6.

FIRST SCHEDULE.

IRON AND STEEL GOODS IN RESPECT OF WHICH ORDERS MAY BE MADE REMOVING OR REDUCING ADDITIONAL DUTIES.

Pig Iron.

Ingots, Billets, Blooms and Slabs.

Girders, Beams, Joists and Pillars.

Angles, Shapes and Sections.

Bars and Rods.

Plates and Sheets.

Hoop and Strip.

Railway and Tramway construction material.

Wire, and manufactures wholly or mainly of wire.

Nails, staples, tacks, studs and spikes.

Bolts, bolt ends, nuts, screws, rivets and washers.

SECOND SCHEDULE.

Section 18.

SUPPLEMENTARY PROVISIONS AS TO PREVENTION OF AVOIDANCE OF INCOME TAX BY TRANSACTIONS RESULTING IN THE TRANSFER OF INCOME TO PERSONS ABROAD.

1. Tax at the standard rate shall not be charged by virtue of the principal section in respect of income which has borne tax at the standard rate by deduction or otherwise but, save as aforesaid, tax chargeable at the standard rate by virtue of that section shall be charged under Case VI of Schedule D and all assessments in respect thereof shall be made by the Special Commissioners.

2. In computing the liability to income tax of an individual chargeable by virtue of the provisions of the principal section, the same deductions and reliefs shall be allowed as would have been allowed if the income deemed to be his by virtue of that section had actually been received by him.

3. Where an individual has been charged to income tax on any income deemed to be his by virtue of the principal section and that income is subsequently received by him, it shall be deemed not to form part of his income again for the purposes of the Income Tax Acts.

4. All the provisions of the Income Tax Acts relating to the charge, assessment, collection and recovery of income tax, to appeals against assessments made by the Special Commissioners and to cases to be stated for the opinion of the High Court shall apply to any income tax chargeable by virtue of the principal section, so far as they are applicable and subject to any necessary modifications.

5. For the purposes of an assessment under the principal section the Special Commissioners shall have any of the powers of a surveyor, and for the purpose of the representation of the Crown before the Special Commissioners on any appeal under this Schedule, any person nominated in that behalf by the Commissioners of Inland Revenue shall have all such powers as a surveyor has at and upon the determination of an appeal.

6. The Special Commissioners may by notice in writing require any person to furnish them within such time as they may direct (not being less than twenty-eight days) with such particulars as they think necessary for the purpose of the

2ND SCH. —*cont.*

principal section, and if that person, without reasonable excuse, fails to comply with the notice he shall be liable to a penalty not exceeding fifty pounds, and, after judgment has been given for that penalty, to a further penalty of the like amount for every day during which the failure continues.

7. Without prejudice to the provisions of the last foregoing paragraph, if any individual fails to furnish any particulars required under this Schedule, or if the Special Commissioners are not satisfied with any particulars furnished under this Schedule, they may make an estimate of the amount of the income which, by virtue of the provisions of the principal section, is to be deemed to be the income of the individual for the purposes of the Income Tax Acts.

Section 33.

THIRD SCHEDULE.

PROVISIONS AS TO ROAD FUND.

PART I.

EXPENSES &C. TO BE PAID OUT OF MONEYS PROVIDED BY PARLIAMENT INSTEAD OF BEING PAYABLE OUT OF ROAD FUND.

1. Amounts payable out of the Fund by virtue of paragraph (*a*) of subsection (4) of section three of the Roads Act, 1920 (which relates to the expenses of county councils in levying the duties on mechanically propelled vehicles, the registration of such vehicles and the issuing of licences).

2. Sums payable out of the Fund by virtue of paragraph (*b*) of the said subsection (4) (which, as amended by section eighty-nine of the Road Traffic Act, 1930, relates to amounts which would have been received by local or police authorities, if the Roads Act, 1920, had not been passed, on account of fees or charges for the licensing of mechanically propelled hackney carriages other than public service vehicles).

20 & 21 Geo. 5. c. 43.

3. Expenses incurred by and in connection with the Roads Department of the Ministry of Transport which are payable out of the Fund by virtue of the following enactments, namely:—

(*a*) paragraph (*c*) of subsection (4) of section three of the Roads Act, 1920;

3RD SCH. —*cont.*

(*b*) subsection (1) of section one hundred and fifteen of the Road Traffic Act, 1930;

(*c*) paragraph (*b*) of subsection (5) of section fifty-one of the London Passenger Transport Act, 1933; 23 & 24 Geo. 5. c. 14.

(*d*) subsection (3) of section twenty-four of the Road and Rail Traffic Act, 1933; 23 & 24 Geo. 5. c. 53.

(*e*) subsection (1) of section nineteen of the Restriction of Ribbon Development Act, 1935; 25 & 26 Geo. 5. c. 47.

but not including such expenses incurred in disseminating knowledge or otherwise informing the minds of the people with a view to promoting safety on roads as are referred to in subsection (1) of the said section one hundred and fifteen.

4. Expenses incurred by other Government Departments which are payable out of the Fund by virtue of paragraph (*e*) of subsection (4) of section three of the Roads Act, 1920.

5. Expenses incurred by the Minister of Transport or the London and Home Counties Traffic Advisory Committee or the members thereof, which are payable out of the Fund by virtue of section fifteen of the London Traffic Act, 1924. 14 & 15 Geo. 5. c. 34.

6. Expenses incurred by the Minister of Transport under the provisions of the Roads Improvement Act, 1925, which are payable out of the Fund by virtue of section eight of that Act, other than expenses incurred under the provisions of sections one, four and six of that Act. 15 & 16 Geo. 5. c. 68.

7. Charges which are deemed to be included in the expenses referred to in the last four foregoing paragraphs by virtue of subsection (2) of section one hundred and fifteen of the Road Traffic Act, 1930.

8. Sums which are payable out of the Fund by virtue of paragraph 14 of the Fourth Schedule to the Road Traffic Act, 1930 (which, as amended by the Second Schedule to the Road Traffic Act, 1934, relates to sums payable under the first-mentioned Schedule by way of compensation for loss suffered by virtue of section one hundred and twenty-two of the Road Traffic Act, 1930, or of anything done in pursuance or in consequence thereof). 24 & 25 Geo. 5. c. 50.

9. Sums which are payable out of the Fund by virtue of subsection (3) of section thirty-eight of the Road Traffic Act, 1934 (which relates to compensation in cases where an agreement has been made under section one hundred and five of the Road Traffic Act, 1930).

3RD SCH. —*cont.*

PART II.

ENACTMENTS RELATING TO ROAD FUND REPEALED AS FROM 1ST APRIL, 1937.

Session and Chapter.	Short Title.	Extent of Repeal.
9 Edw. 7. c. 47.	The Development and Road Improvement Funds Act, 1909.	Section thirteen.
10 & 11 Geo. 5. c. 72.	The Roads Act, 1920	Section two and the proviso to subsection (4) of section three.
16 & 17 Geo. 5. c. 22.	The Finance Act, 1926	Section forty-two.
18 & 19 Geo. 5. c. 17.	The Finance Act, 1928	Section twenty-seven, and in section twenty-eight the words from "and any sums" to the end of the section.
19 & 20 Geo. 5. c. 17.	The Local Government Act, 1929.	Section eighty-seven.
19 & 20 Geo. 5. c. 25.	The Local Government (Scotland) Act, 1929.	Section fifty-four.
20 & 21 Geo. 5. c. 43.	The Road Traffic Act, 1930.	Subsection (2) of section eighty-eight; in section one hundred and seventeen the words from "and any sums" to the end of the section.
21 & 22 Geo. 5. c. 28.	The Finance Act, 1931	Section thirty-six.
21 & 22 Geo. 5. c. 49.	The Finance (No. 2) Act, 1931.	Section twenty.
22 & 23 Geo. 5. c. 25.	The Finance Act, 1932.	Section twenty-eight.
23 & 24 Geo. 5. c. 8.	The Local Government (General Exchequer Contributions) Act, 1933.	Paragraph (*b*) of section one.
23 & 24 Geo. 5. c. 19.	The Finance Act, 1933.	Section forty.
23 & 24 Geo. 5. c. 53.	The Road and Rail Traffic Act, 1933.	Subsection (3) of section twenty-three.
24 & 25 Geo. 5. c. 32.	The Finance Act, 1934.	Section twenty-six.

FOURTH SCHEDULE.

Section 35.

MISCELLANEOUS ENACTMENTS REPEALED.

Session and Chapter.	Short Title.	Extent of Repeal.
8 & 9 Geo. 5. c. 40.	The Income Tax Act, 1918.	Subsection (6) of section one hundred and eighty-seven.
10 & 11 Geo. 5. c. 18.	The Finance Act, 1920	As from the first day of January, nineteen hundred and thirty-seven, paragraph two of the Second Schedule.
12 & 13 Geo. 5. c. 17.	The Finance Act, 1922	In subsection (6) of section twenty-one, the words from "A company shall be "deemed to be under the "control" to the end of the subsection.
22 & 23 Geo. 5. c. 25.	The Finance Act, 1932	Subsections (1) and (4) of section one.
25 & 26 Geo. 5. c. 24.	The Finance Act, 1935	Section six.

CHAPTER 35.

An Act to amend the enactments relating to solicitors, and for purposes connected therewith. [16th July 1936.]

BE it enacted by the King's most Excellent Majesty, by and with the advice and consent of the Lords Spiritual and Temporal, and Commons, in this present Parliament assembled, and by the authority of the same, as follows:—

PART I.

AMENDMENTS OF PART II OF THE SOLICITORS ACT, 1932.

Articles of Clerkship.

Solicitor to practise five years before taking articled clerk.

1.—(1) No solicitor who has not at some time been in continuous practice as a solicitor for a period of five years shall, without the special leave in writing of the Society, take any articled clerk.